



FNB SALES ANALYSIS

By Princess Malatha

Agenda

- Analyse 1,053 daily sales records
- Calculate pricing and profitability metrics
- Assess promotional performance
- Measure price elasticity
- Identify revenue-growth opportunities

Executive Dashboard

186909828.26

R5.28m Units sold

-7116281.19

-R7.12m Gross Profit

-3.81%

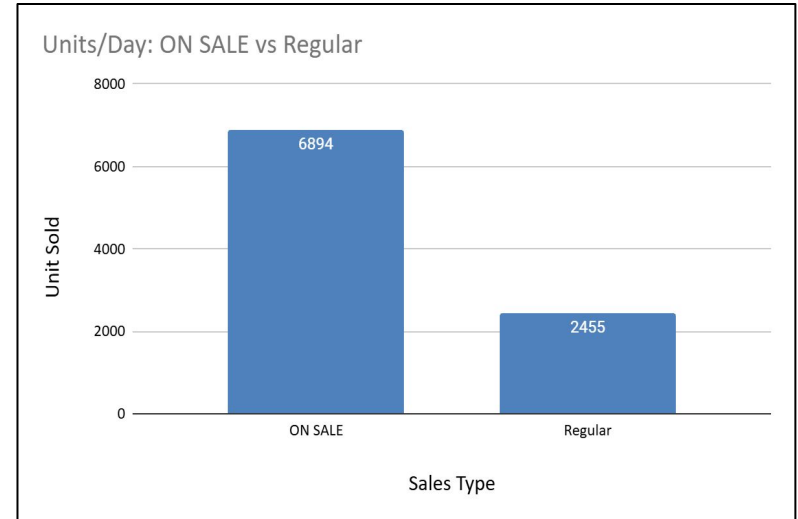
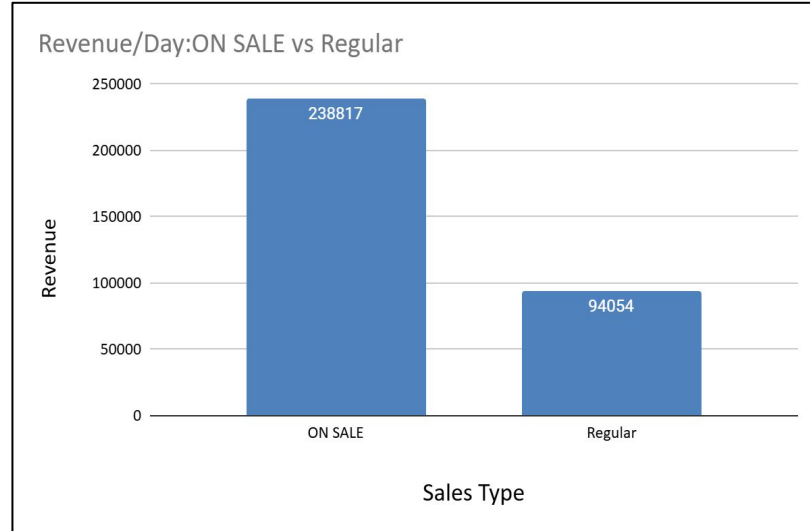
-3.8% Gross Margin

R34.16

R34.16 Average Selling Price

High sales volume is being achieved, but current pricing and promotional activity are not translating into positive gross profit.

Regular vs Promotional Sales



Promotions increase daily revenue by approximately 154% and daily volume by approximately 181%.

The Promotion Profitability Problem

Regular

VS Promotion

+4.93% margin

-6.34% margin

+R2.07m GP
Regular days

VS R9.18m GP
Promotional days

The current promotion strategy generates revenue but erodes gross profit.

Price Elasticity

Demand is high-price sensitive in the selected promotional periods

Period	Price Change	Volume Response	Elasticity
Sep-Oct 2014		drastically 	-16.3
Mar-Apr 2015		drastically 	-15.3
May-Jun 2016		strongly 	-7.0

Key Business Insights

1. Promotions drive demand

+181% daily unit volume

2. Promotions drive revenue

+154% daily revenue

3. Discounting destroys margin

4.93% → -6.34%

4. Demand is price elastic

Elasticity between approximately -7 and -16 in selected periods

Recommendations

1. Optimize promotional depth

Test smaller discounts rather than automatically applying deep discounts.

2. Establish a promotional price floor

Ensure promotional pricing is evaluated against unit cost.

3. Use elasticity-based pricing

Use historical demand response to identify pricing points.

4. Introduce promotion ROI

Evaluate incremental revenue and incremental gross profit.

Final Business Recommendation

From Revenue Growth to Profitable Revenue Growth

The analysis indicates that the business has a strong ability to stimulate demand through promotional pricing.

However, the data also indicates that the current promotional strategy can generate substantial sales volume while producing negative gross profit.

My analysis shows that promotions are highly effective at driving demand, but the current pricing strategy sacrifices too much margin; therefore, the opportunity is to use price elasticity and promotional ROI to identify a price point that increases revenue without destroying gross profit.

THE END

